Apple (AAPL) Q1 FY2026 Earnings Call Transcript

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[00:00:00] Operator

Good afternoon. My name is Sarah and I will be your conference operator today. At this time I would like to welcome everyone to the Apple Inc. Q1 FY2026 earnings conference call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks there will be a question-and-answer session. If you would like to ask a question during this time, please press star then the number one on your telephone keypad. Thank you. I will now turn the call over to Mark Delaney, Vice President of Investor Relations. You may begin.

[00:00:40] Mark Delaney — Investor Relations

Thank you, and good afternoon everyone. With me today are Daniel Whitford, our Chief Executive Officer, and Priya Raman, our Chief Financial Officer. Before we begin, I would like to remind you that today's discussion contains forward-looking statements that are based on our current expectations and are subject to risks and uncertainties described in our SEC filings. Actual results may differ materially. Unless otherwise noted, growth rates are year over year. The earnings release and the slides we will reference are available on our website. With that, I will turn the call over to Daniel.

[00:01:20] Daniel Whitford — Chief Executive Officer

Thank you, Mark, and thanks to everyone for joining us. Q1 FY2026 was a solid quarter for Apple. Net sales grew 5% to $104.2 billion, and Services grew 10%, driven by growth in advertising, cloud services and payments, with a record installed base.

Our installed base of active devices reached a new all-time high across every geographic segment and product category, which drives the Services business and the ecosystem more broadly.

We continued to roll out Apple Intelligence features in additional languages and regions during the quarter, and customer engagement with these features is encouraging. We are also expanding manufacturing capacity in India and Vietnam to add resilience to our supply chain.

Turning to iPhone: revenue was $56.8 billion, up 6%, reflecting demand for the iPhone 17 family and continued growth in emerging markets.

Turning to iPad: revenue was $6.7 billion, up 1%, reflecting a difficult comparison against last year's iPad Air launch.

Turning to Mac: revenue was $6.9 billion, up 0%, reflecting the M5 MacBook Air and MacBook Pro launches.

Turning to Wearables, Home and Accessories: revenue was $10.2 billion, down 5%, reflecting softer Apple Watch and AirPods demand.

On capital return, we continue to make progress toward our goal of net cash neutral over time, and the Board's confidence in the business is reflected in this quarter's dividend. We also opened new retail stores in India, Saudi Arabia and Malaysia, bringing us closer to customers in some of our fastest-growing markets.

We feel good about our position and we are investing to extend our leadership. With that, let me hand over to Priya to take you through the numbers.

[00:03:08] Priya Raman — Chief Financial Officer

Thank you, Daniel. Let me walk through the results for Q1 FY2026 and then our outlook.

Total net sales was $104.2 billion, up 5% year over year. By segment: iPhone was $56.8 billion, up 6%; Mac was $6.9 billion, up 0%; iPad was $6.7 billion, up 1%; Wearables, Home and Accessories was $10.2 billion, down 5%; Services was $23.6 billion, up 10%.

In iPhone, revenue of $56.8 billion was up 6.0% year over year and up sequentially, driven by demand for the iPhone 17 family and continued growth in emerging markets. The year-ago comparison included a one-time benefit.

In Mac, revenue of $6.9 billion was up 0.2% year over year and up sequentially, driven by the M5 MacBook Air and MacBook Pro launches. Foreign exchange was a modest headwind.

In iPad, revenue of $6.7 billion was up 1.2% year over year and up sequentially, driven by a difficult comparison against last year's iPad Air launch. Pricing was stable.

In Wearables, Home and Accessories, revenue of $10.2 billion was down 4.7% year over year and up sequentially, driven by softer Apple Watch and AirPods demand. Growth was broad-based across regions.

In Services, revenue of $23.6 billion was up 9.5% year over year and down sequentially, driven by growth in advertising, cloud services and payments, with a record installed base. The year-ago comparison included a one-time benefit.

Gross margin was 47.0%, compared with 47.1% a year ago. Operating expenses were $14.7 billion, up 5%, as we continued to invest in capacity and talent. Operating income was $34.3 billion, a 33% margin.

The effective tax rate was 16.0%. Net income was $28.9 billion and GAAP diluted earnings per share were $2.20.

Cash flow from operations was $34.1 billion and capital expenditures were $2.9 billion, for free cash flow of $31.2 billion. We returned $8.8 billion to shareholders, including $5.5 billion of share repurchases. We ended the quarter with $71.5 billion in cash and marketable securities and $92.0 billion of debt.

As we move ahead to the Q2 FY2026 quarter, I'd like to provide some colour on what we expect, assuming the macroeconomic outlook does not worsen. We expect total company revenue to grow high single digits year over year, with Services growing at a rate similar to the past quarter. We expect gross margin to be between 46.7% and 47.7%, operating expenses of $10.7 billion to $11.0 billion, and a tax rate of about 16%. We do not provide guidance in our press release.

With that, Daniel and I are happy to take your questions. Operator, please open the line.

[00:05:56] Operator
Thank you. We will now open the call for questions. As a reminder, please limit yourself to one question and one follow-up. Our first question comes from the line of Tom Whitaker with Meridian Street Research. Please go ahead.

[00:06:15] Tom Whitaker — Meridian Street Research
Thanks. You returned $8.8 billion to shareholders this quarter. Any change in how you prioritise buybacks versus dividends versus investment?

[00:06:26] Priya Raman — Chief Financial Officer
Our framework hasn't changed. We invest first in the business, then return excess cash. This quarter that was $5.5 billion of repurchases and $3.3 billion of dividends. We have $50 billion remaining under the current authorization.

To put some numbers on it: Services is now 23% of revenue, up from 22% a year ago.

[00:06:50] Tom Whitaker — Meridian Street Research
Thanks. One follow-up: how much of that is price versus volume?

[00:06:58] Priya Raman — Chief Financial Officer
Mix was slightly favourable, mostly from the product cycle timing we talked about.

[00:07:07] Operator
Your next question comes from the line of Mei-Ling Chao with Stonehaven Partners. Please go ahead.

[00:07:17] Mei-Ling Chao — Stonehaven Partners
Good afternoon. Capital expenditures were $2.9 billion this quarter. How should we think about the return on that spend, and is there a point at which it moderates?

[00:07:31] Priya Raman — Chief Financial Officer

Capital expenditures were $2.9 billion this quarter, and we expect the run rate to grow modestly. We size investment against demand signals we can see, including contracted backlog, and the returns on the capacity we brought online over the last two years are well above our cost of capital.

We are being deliberately conservative in how we plan, given the macro uncertainty.

[00:07:58] Mei-Ling Chao — Stonehaven Partners
That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

[00:08:09] Priya Raman — Chief Financial Officer
Mix was slightly favourable, mostly from the product cycle timing we talked about.

[00:08:18] Operator
Your next question comes from the line of Greg Lindahl with Birchwood & Co.. Please go ahead.

[00:08:28] Greg Lindahl — Birchwood & Co.
Thanks for taking the question. Can you talk about what you are seeing in demand for Services as you look into the next couple of quarters, and whether the growth rate you printed this quarter is sustainable?

[00:08:46] Daniel Whitford — Chief Executive Officer
Thanks for the question. Demand in Services remains broad-based. We grew 10% this quarter on growth in advertising, cloud services and payments, with a record installed base, and while comparisons get tougher, the pipeline supports continued growth. I wouldn't extrapolate any single quarter, but the drivers are durable.

We are being deliberately conservative in how we plan, given the macro uncertainty.

[00:09:13] Greg Lindahl — Birchwood & Co.
Got it, thank you. And just a follow-up on the mix: anything to call out?

[00:09:22] Priya Raman — Chief Financial Officer
It's predominantly volume. Pricing was roughly stable year over year.

[00:09:29] Operator
Your next question comes from the line of Aisha Bello with Lantern Capital Markets. Please go ahead.

[00:09:39] Aisha Bello — Lantern Capital Markets
Thanks for taking my question. On the regulatory front, how do you see the risk from the Digital Markets Act decision and the App Store changes it requires and what, if anything, is embedded in your outlook?

[00:09:57] Daniel Whitford — Chief Executive Officer
We engage constructively with regulators and comply with the law everywhere we operate. On the Digital Markets Act decision and the App Store changes it requires, we have reflected what we know today in our outlook; the range of outcomes is wide and we will update you as there is clarity.

To put some numbers on it: Services is now 23% of revenue, up from 22% a year ago.

[00:10:27] Aisha Bello — Lantern Capital Markets
Got it, thank you. And just a follow-up on the mix: anything to call out?

[00:10:36] Priya Raman — Chief Financial Officer
Mix was slightly favourable, mostly from the product cycle timing we talked about.

[00:10:45] Operator
Your next question comes from the line of Patrick O'Rourke with Ashford Grey. Please go ahead.

[00:10:55] Patrick O'Rourke — Ashford Grey
Hi, thank you. On gross margin: you came in at 47.0%. Can you walk through the puts and takes and how we should think about the trajectory from here?

[00:11:10] Priya Raman — Chief Financial Officer
Sure. Gross margin was 47.0% versus 47.1% a year ago. The main drivers were mix and lower input costs, partly offset by higher depreciation. Going forward we expect margins to be roughly in this range, with normal quarterly variation of fifty to a hundred basis points.

We are being deliberately conservative in how we plan, given the macro uncertainty.

[00:11:36] Patrick O'Rourke — Ashford Grey
Got it, thank you. And just a follow-up on the mix: anything to call out?

[00:11:45] Priya Raman — Chief Financial Officer
It's predominantly volume. Pricing was roughly stable year over year.

[00:11:52] Operator
Your next question comes from the line of Carlos Mendes with Independent. Please go ahead.

[00:12:01] Carlos Mendes — Independent
Hi. Could you address the competitive landscape in Services? We're hearing about pricing pressure from a couple of your peers.

[00:12:12] Daniel Whitford — Chief Executive Officer
We take every competitor seriously, but our position in Services is defined by the pace of our product cadence. Pricing in the quarter was consistent with our expectations and we gained share in the segments we track.

We will give you more detail at our investor day later this year.

[00:12:35] Carlos Mendes — Independent
That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

[00:12:46] Priya Raman — Chief Financial Officer
Mix was slightly favourable, mostly from the product cycle timing we talked about.

[00:12:55] Operator
Your next question comes from the line of Ingrid Solberg with Independent. Please go ahead.

[00:13:04] Ingrid Solberg — Independent
Hi, thanks. Consensus revenue coming into the quarter was $105.6 billion; you printed $104.2 billion. Which part of the business surprised you most relative to your own plan?

[00:13:18] Priya Raman — Chief Financial Officer
We don't manage to consensus, but relative to our own plan the upside came from Services. Consensus was $105.6 billion on your numbers; we came in at $104.2 billion. On the EPS line the comparison depends on which basis you use — our headline number is GAAP.

I'd also point you to the supplemental schedules we posted, which break this down by quarter.

[00:13:46] Ingrid Solberg — Independent
That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

[00:13:57] Priya Raman — Chief Financial Officer
Mix was slightly favourable, mostly from the product cycle timing we talked about.

[00:14:06] Operator
There are no further questions at this time. I will now turn the call back over to management for closing remarks.

[00:14:18] Daniel Whitford — Chief Executive Officer
Thank you all for joining us today, and thank you to our employees for delivering these results. We look forward to updating you next quarter.

[00:14:31] Operator

This concludes today's conference call. You may now disconnect.

Quick take

Metric	Reported	Consensus (CallScript)
Revenue	$104.2 billion	$105.6 billion
EPS (GAAP)	$2.20	$2.15

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